

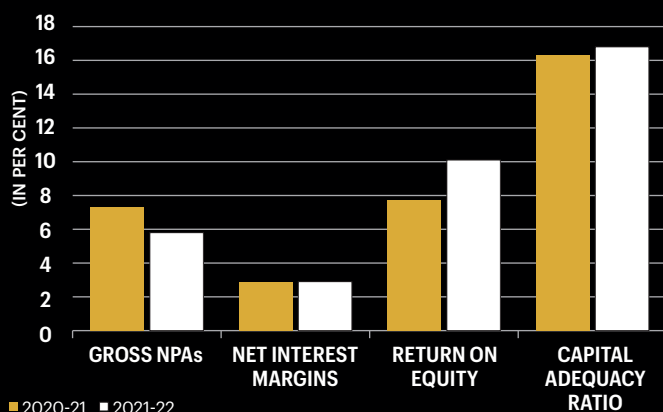
GROWING STRONGER

The cumulative net profit of Indian banks has increased by 34 per cent from FY21 to FY22...

	2020-21	2021-22
Loans and advances	108.06	122.08
Deposits	155.8	171.82
Net profits	1.21	1.82

FIGURES ARE IN ₹ LAKH CRORE

...while their gross NPAs have narrowed from 7.3 per cent in FY21 to 5.8 per cent in FY22



■ 2020-21 ■ 2021-22

SOURCE RBI

banks, which immediately pass on the increases, make more money because their net interest margins (NIMs) go up. On the other hand, higher yields in the G-Secs market expose banks to mark-to-market (MTM) losses on treasury investments. But the RBI recently said that the impact of rising yields on banks' profitability has been mitigated to some extent by the increase in the limit of SLR (statutory liquidity ratio) securities under the held-to-maturity (HTM) portfolio.

MEANWHILE, LARGE TECH firms are presenting an increasing threat to banks. Google Pay and PhonePe now hold most of the market share in the payments arena. Paytm is awaiting a full-scale licence to start lending on top of its growing payments business. In fact, the fintechs are innovating a lot in the

payments space especially for merchants and *kirana* stores. So, the banks have to continuously stay ahead of tech to capture the new emerging opportunities, as GST returns and formalisation have created a new market for payments, savings, investments and lending.

To counter the disruption from new-age players, tech-savvy institutions like ICICI Bank, HDFC Bank, Axis Bank, Kotak Mahindra Bank and Bank of Baroda are building a new, ever-evolving technological architecture. RBI Governor Shaktikanta Das recently said that the future of banking would witness a major shift in customers' choices and preferences with enhanced expectations from the banking industry. Also, according to experts, there is likely to be competition from big NBFCs like Bajaj Finance and new ones from the Piramal, Poonawalla and Godrej groups. These NBFCs are focussing on a low-cost operating model with fintech partnerships.

"Technology should not be seen in isolation. It is here to support the bank's strategy and help drive business," says Sandeep Batra, ED at ICICI Bank. Banks have no option as customers are now demanding frictionless banking at their fingertips. ICICI Bank has already increased its technology spending, which accounts for 9 per cent of its operating expenses. The bank doesn't see this coming down in the near future.

Cybersecurity is the most significant unknown risk to the banking sector. "If there is one risk that keeps managements awake, it is cyber risk," writes Amit Wagh, Partner, Business Consulting—Financial Services, KPMG in India, in his column (*see page 86*). The collaborative approach used by banks and fintechs has exposed the system to third-party scrutiny. The thousands of APIs linked to the banking system are also creating vulnerabilities. The expansion of digital banking will need a strong defence system and the ability to respond quickly.

The regulator is now super active in terms of surveillance on banks and their risky business models, as it doesn't want any bank failures. The regulator is already forcing banks to have a robust risk management framework and board-approved policies, especially for risky bets on unsecured loans or MSMEs. Some experts suggest that banks are trapped between meeting regulators' demands and shareholders' expectations of returns. Striking a fine balance will be the biggest challenge for banks in the near future. **BT**

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